

pace progress. Approvals for investments worth ₹74,850 crore were given to 75 companies, but of the ₹25,938-crore total incentive outlay, only ₹11 crore was disbursed in FY23, and just ₹604 crore has been allocated for FY24. Plus, manufacturers are concerned over the prolonged list of details required to claim benefits, and authorities are tightening their scrutiny to address leakages. "It has come to our notice that some of the electric two-wheeler makers have wrongfully claimed subsidies under FAME II Initiative. We don't want that to repeat in PLI," says an official.

Then, the list of eligible auto products can be amended over time. As Biren Vyas, Partner-Tax at Grant Thornton Bharat, points out in a report, in case an applicant is not able to achieve the turnover and investment criteria due to alteration of this list, the Ministry of Heavy Industries may invoke the bank guarantee furnished by the applicant. A changing list might also require more investments. Plus, the requirement of at least 50 per cent domestic value addition is a challenge for many as India remains dependent on import of key components like lithium-ion batteries and semiconductor chips.

Notified in July 2021, PLI in steel is focussed on boosting local production of value-added and specialty steel to 43 million tonnes a year by 2028-29 from 18 million in 2019-20. However, with little interest from steel manufacturers, the MoUs (memoranda of understanding) could only be signed in March 2023. The 27 companies that got approval have committed ₹30,000 crore capex, which experts say falls short of PLI's objective. According to Vipul Prasad, Founder & CEO of Magadh Capital Advisors, to bump up the capacity by 25 million tonnes



"The government is going to spend nearly ₹2 lakh crore in incentives, which would be on average, 5 per cent of the incremental production. This means, the GDP is set for a \$520-billion boost through PLI over the period"

AMITABH KANT
G20 SHERPA AND FORMER CEO,
NITI AAYOG



"To further enhance the [PLI] scheme, implementation of mandatory incremental sales of 7 per cent YoY needs to be applied specifically to the selected, approved products eligible for benefits"

RAMESH SWAMINATHAN
ED, GLOBAL CFO AND HEAD OF
CORPORATE AFFAIRS, LUPIN

a year, nearly ₹2 lakh crore worth of capex would be required. "To add one million tonnes of capacity by setting up new plants, on average \$1 billion (₹8,200 crore) is required. So, currently they are on course to set up just a part of the overall 25-million-tonne target," he says.

The government is now planning to introduce PLI 2.0 for steel, which industry veterans feel would

help in meeting the rising demand for stainless and alloy steels. "However, some adjustments are necessary," says Vijay Sharma, Director at Jindal Stainless (JSL). "As stainless and alloy steels are low-volume but high value-added items, the threshold investment levels in PLI 2.0 need to be significantly lower as compared to PLI 1.0. Also, since both stainless and alloy steels are meant for high-end applications, the highest band of PLI incentives should be made applicable for PLI 2.0." Poor return on investment is also a key concern. "Over the years, average rate of return for many of these companies has rarely been over 10 per cent, which is relatively lower than the return required to make the business viable in the long run. So, the 4-6 per cent incentive offered under PLI would help them sustain in the initial years, but what happens once the incentives stop after the five-year period?" argues Prasad.

Now let's get back to where we started, with ACs. The committed investments of ₹3,898 crore (₹4,614 crore after including ₹716 crore from LED makers) fell short of the initial projections by the government, which plans an incentive outlay of ₹6,238 crore (for ACs and LEDs) between 2021-22 and 2028-29. But industry veterans like Jawa and B. Thiagarajan, MD of Blue Star India, say the scheme could still prove to be crucial for India's emergence in the global AC manufacturing landscape that is dominated by China. Pumping out 100 million ACs a year, Chinese manufacturers are cooling homes across leading markets from the US and India to the harsh sub-Saharan Africa. As per the argument that persuaded the authorities to change their stance towards the sector, India's AC manufacturing capacity would